CHAPTER IV

THE FOREIGN ASSETS OF SMALL TAXPAYERS DISCLOSURE SCHEME, 2026

Short title and commencement.

130. (*1*) This Scheme may be called the Foreign Assets of Small Taxpayers Disclosure Scheme, 2026.

(*2*) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

Definitions.

131. (*1*) In this Scheme, unless the context otherwise requires,—

(*a*) "assessee" means a person,—

(*i*) being a resident in India within the meaning of section 6 of the Income-tax Act, 1961 in the previous year; or 43 of 1961.

(*ii*) being a non-resident or not ordinarily resident in India within the meaning of clause (*6*) of section 6 of the said Act in the previous year, who was resident in India either—

(*A*) in the previous year to which the income referred to in section 4 of the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 relates; or 22 of 2015.

(*B*) in the previous year in which the undisclosed asset located outside India was acquired;

(*b*) "assessment" includes reassessment;

(*c*) "assessment year" shall have the same meaning as assigned to it in clause (*9*) of section 2 of the Income-tax Act, 1961; 43 of 1961.

(*d*) "Board" means the Central Board of Direct Taxes constituted under section 3 of the Central Boards of Revenue Act, 1963; 54 of 1963.

(*e*) "declarant" means a person who files declaration under section 116;

(*f*) "declaration" means the declaration filed under section 116;

(*g*) "last date" means such date as may be notified by the Central Government in the Official Gazette;

(*h*) "prescribed" means prescribed by rules made under this Act;

(*i*) "previous year" shall have the same meaning as assigned to it in clause (*34*) of section 2 of the Income-tax Act, 1961; 43 of 1961.

(*j*) "undisclosed asset located outside India" means an asset (including financial interest in any entity) located outside India, held by the assessee in his name or in respect of which he is a beneficial owner, and he has no explanation about the source of investment in such asset or the explanation given by him, is in the opinion of the Assessing Officer, unsatisfactory;

(*k*) "undisclosed foreign income" means the total amount of income of an assessee from a source located outside India which was chargeable to tax in India but has not been offered to tax under the Income-tax Act, 1961; and 43 of 1961.

(*l*) "value of the asset" means the fair market value of the asset determined in such manner as may be prescribed.

(*2*) Words and expressions used herein and not defined but defined in the Income-tax Act, 1961 or the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 or the Income-tax Act, 2025 shall have the meanings respectively assigned to them in those Acts. 43 of 1961. 22 of 2015. 30 of 2025.